



**City of Sugar Hill Budget
Fiscal Year: 2019**

GENERAL FUND - 100	2019
Department	Approved
MAYOR & COUNCIL	80,500
ELECTIONS	49,800
ADMINISTRATION	6,908,768
INFORMATION TECHNOLOGY	270,700
PUBLIC SAFETY	175,000
STREET	1,620,200
LANDFILL	55,000
CEMETERY	21,200
RECREATION	1,547,760
CULTURAL RESOURCES/COMMUNITY INVOLVEMENT	76,500
EAGLE THEATRE	490,520
BOWL/PLAZA EVENTS	919,718
PLANNING & DEVELOPMENT	808,125
ECONOMIC DEVELOPMENT	573,575
	\$13,597,366.00

OTHER FUNDS	Approved
FUND 320 - CAPITAL IMPROVEMENTS	12,225,803
FUND 506 - STORMWATER	956,000
FUND 515 - GAS	7,796,700
FUND 555 - GOLF	1,139,710
FUND 557 - E CENTER MIXED-USE	360,000
FUND 745 - MUNICIPAL COURT	9,500
FUND 800 - DDA OPERATIONS	110,025
FUND 800 - DDA - E CENTER DEBT SERVICE	3,176,048
	\$25,773,786.00

BUDGET TOTAL: \$39,371,152.00



2019 OPERATING & CAPITAL IMPROVEMENT BUDGET

Paul D. Radford
City Manager
November 30, 2018

Section 6.24 of the Official Code of Ordinances of the City of Sugar Hill directs the City Manager to annually submit to the Mayor and City Council a proposed operating budget as well as a proposed capital improvement budget with recommendations as to the means of financing the proposed improvements for the ensuing fiscal year.

In accordance with **State law and the City of Sugar Hill's Official Code of Ordinances**, I hereby submit the proposed **2019 Operating and Capital Improvement Budgets** for your consideration. These same documents were filed with the office of City Clerk on Friday, November 30, 2018, and are available for public inspection. The legally required public **notification** appeared in the Gwinnett Daily Post on **Friday, November 30, 2018**, which also notified the public of the submission of the budget documents, their availability for public inspection and the dates of the public hearings. The public hearings have been scheduled for Monday, **December 3rd** at the December City Council work session and Monday, **December 10th** at the December City Council meeting.

2018 In Review

This has been another year of milestones for Sugar Hill. The city's own E Center was substantially completed and the city has taken possession of the entire development, including the Eagle Theatre, mixed-use portion and the recreation/gymnasium area. The mixed use portion is nearly 60% leased with four office tenants, four restaurants and one retail space under lease. The city has received letters of intent (LOI) for three additional tenants – two restaurants and one office tenant. Recreation staff has moved their offices from the old community center to the E Center and our events and cultural programming staff will soon move from city hall to the new Eagle Theatre.

The Players Guild of Sugar Hill held their inaugural production in the new Eagle Theatre in November - Oscar Wilde's play "The Importance of Being Earnest." Several other productions will wrap up the year including the Allstars Academy's presentation of the Nutcracker in early December and the traveling show Artrageous on December 13, 2018. Programming is under way for the first full season in 2019.

As construction concludes on the E Center, a new private sector development will start construction in late December 2018 and continue for the next 18-20 months. In April 2015, the city purchased the Buice School from the Gwinnett County Board of Education. For several years the city leased the school to three hybrid private schools. Portions of the buildings were also used by the Sugar Hill Players Guild and Broad Street Band as well as the city's growing Pickle Ball League. In late November 2018, the city sold the Buice School site and some adjacent city property holdings to Alliance Residential Company for the development of a \$78 million mixed-use development featuring restaurant space, luxury millennial housing, carriage units, structured parking and public open space. This development will sit directly across the street from the new E Center and City Hall.

Dogwood Forest, a \$52 million assisted living and memory care development is under a development agreement with the downtown development authority for 5.36 acres of property the city owns on the north side of West Broad. This project has received all zoning, design review, site plan as well building plan approvals from the city and is scheduled to close in the first quarter of 2019, with an expected delivery date of the fall of 2020.

In the fall of 2018, the city secured several additional parcels of property on Hillcrest Drive between West Broad and Highway 20. Using in-house staff and equipment, we demolished and cleared the structures on those sites to combine with other parcels acquired over the past 10-12 years for future development that will be consistent with the city's downtown master plan.

The Dawn P. Gober Community Plaza and Sugar Hill Splash Park were again fully operational in 2018, attracting large crowds daily. A new initiative in 2018 - Splash Night Fridays - attracted large crowds for games, food, family fun and live music. The award-winning "Bowl @ Sugar Hill" has developed a great reputation as a popular place for production-level concerts. The 2018 Quantum National Bank Concert Series featured Colbie Caillat, The Village People, Sister Sledge, Don Felder (formerly of the Eagles), Easton Corbin, Vertical Horizon and Michael Bolton. In addition, the plaza and Bowl were used throughout the year by private rentals.

The Dawn P. Gober Community Plaza doesn't go silent at the conclusion of the concert series. In Sugar Hill, winter wouldn't be the same without ice, so back by popular demand is the Ice Rink @ Sugar Hill. Once again located on the specially-designed community plaza area behind city hall, the ice rink opened for the season in early November and will remain open until mid-February. The ice rink attracts over 15,000 visitors for the season to downtown Sugar Hill.

We continue to invest in our staff, providing opportunities for individual and professional growth while also providing universal training and education to our entire staff on timely subjects such as customer service, harassment, active shooter awareness and defensive driving.

2017 SPLOST proceeds are exceeding our conservative estimates which will help with the full implementation of our planned SPLOST projects, particularly for the construction of the popular Sugar Hill Greenway, new passive parks/trailheads, Bowl improvements, sidewalk construction and connectivity and road improvements. The 2019 Capital Improvement Budget reflects these priorities.

Fiscally, the city remains in excellent financial shape, both in liquid (cash on hand assets) as well substantial real estate holdings for current and future development/redevelopment, parks and greenspace. The city's financial policy is to maintain an amount of at least 20% of the annual budget in reserve with a recommended level of 30% for "unbudgeted reserves" for contingencies, CIP, and for undefined projects. The approved 2018 General Fund budget was \$11,470,164 and 30% of this equals \$3,441,049. As of the writing of this report, "Unreserved General Fund Balance" is \$5,776,382. The city also continues to maintain and grow a Gas Fund reserve, currently at \$509,600. The city's cash position remains strong, despite an aggressive investment in strategic real estate acquisitions over the past four years. We anticipate ending FY2018 in an even stronger financial position and adding to fund balance.

For the sixth year in a row, the city has received an "unqualified audit report", which means the audit report issued by the city's audit firm is issued without qualification and is free of any encumbrances or conditional statements. We are proud of our finance staff and the entire management team that work hard throughout the year to follow established procedures and maintain integrity and transparency in everything we do.

In 2018, the final of a three-stage monthly gas service fee increase went into effect. The fee increase started with \$2 in 2016, another \$1 in 2017 and the final \$1 increase in 2018 gas billings. Even with this overall \$4 monthly service fee increase (the first in 15 years) the city's municipal gas system maintains its position as the second lowest 12-month average cost to the consumer of any municipal system and/or private marketer in the state. In fact, Sugar Hill gas customers will, by comparison, pay approximately 40% to 50% less for gas service than any private gas marketer in the state. Sugar Hill gas is a cost-effective, reliable and highly-competitive energy source and we are proud of our customer service and safety record. In October 2017, we initiated the first phase of the new electronic meter-reading system and as of today, have installed, calibrated and initiated automatic meter reading (AMR) of over 20% of our system. The goal is to convert all 11,200 meters over a five-year period.

The city's tax digest continued to grow with significant new investments and reassessments of existing properties. The digest for 2018 has almost reach \$1 billion, nearly double what it was in 2014. The ratio of residential to commercial property is also changing in a positive direction with nearly 20% of our digest now commercial. This is a strong indicator of the continued

confidence in the Sugar Hill market. All indicators of growth are positive - building permits, inspections, business locations and expansions as well as traffic counts - all point to a growing economy. Equally exciting is the enthusiasm shared by residents and the development community regarding the city's investment in downtown and our highly-respected placemaking initiatives. The community's vision of creating a 16-hour destination downtown is about to come true.

In summary, 2018 has been a busy year with the completion of the E Center, completion of a new mural on the west side of the old city hall and working with our private sector partners to get their projects closer to execution. We anticipate 2019 to be a busy construction year downtown with the start of the Broadstone and Dogwood Forest on West Broad, Prestwick on Hillcrest and 360 Residential on Level Creek/Peachtree Industrial Boulevard.

The city's strategic land purchases, which have converted some cash reserves into valuable real estate assets, has been key to helping the city council and the Downtown Development Authority (DDA) direct the implementation of the city's community-based Downtown Master Plan and vision. Owning the underlying real estate enables the city and DDA to move in the direction the city wants, not where short-term land speculators would take the city. While this can sometimes be a painstaking, iterative process, it helps ensure that the community's vision is clearly communicated to potential investors/developers, and equally important, investors and developers demonstrate a similar passion and commitment to the vision, not just a desire for a quick profit with no long-term commitment to Sugar Hill.

Downtown Sugar Hill is well known now across the region and state and is becoming a focal point of the community and the larger north Gwinnett market area. Improvements to the Bowl, onboarding of the E Center and the new Eagle Theater, start of construction of the first 5-mile segment of the Sugar Hill Greenway and \$234 million of private sector investment in our downtown with Broadstone, Dogwood Forest, Prestwick and 360 Residential, all point to a vibrant, connected and sustainable downtown that welcomes, celebrates and embraces the community and visitors alike.

The city is blessed with selfless and focused elected leadership, dedicated members of boards and commissions such as the downtown development authority and other city boards and commissions, professional and customer-oriented city staff and hundreds of community volunteers. One of the city's greatest assets is engaged and supportive citizens. They are some of the most vocal cheerleaders for the city and our placemaking efforts.

2019 Budget Highlights

The 2019 Operating Budget reflects an increase over FY2018. The most significant factors contributing to the budget increase are lease payments to the downtown development authority for the 2016 Series and 2018 Series debt service payments, full year operations of the E Center and Eagle Theatre, the possibility of two city elections in 2019 and a 100% increase (+\$1.3 million) in the transfer from the general fund to the Capital Improvement Budget for continued investment in the city's infrastructure and cultural amenities. We continue to make investments in our staff through professional development and training and employee benefits including health and dental coverage, disability and retirement. The budget reflects our commitment to service delivery in all facets of city government, continued investments in our award-winning downtown, staying true to our motto of **"Go Big or Go Home"** and managing our resources with integrity to ensure the city's long-term fiscal stability.

The budget and city operations have been reorganized once again as a result of key resignations and retirements over the past year. Most notably affected are administration and economic development. Several staff members that were previously under Administration have been moved to Economic Development, including communications, marketing, community engagement and downtown development. Overall, the 2019 Operations budget includes one (1) new full time code enforcement officer in the planning department and one (1) part-time staff member in the Eagle Theatre.

The 2019 Capital Improvement Budget reflects a commitment to key community goals including our award-winning downtown, parks and greenspace, golf course, the Sugar Hill Greenway, transportation and walkability and the relocation and enhancement of the veteran's memorial.

The E Center started construction in September 2016 (NewSouth Construction) and was substantially completed in October 2018. The construction and opening of the E Center has proven to be the catalyst for Sugar Hill's downtown renaissance, changing the landscape and skyline for years to come. The Broadstone at Sugar Hill project will start construction on the site of the Buice School on West Broad in early December. Following over the next 3-6 months will be Dogwood Forest on West Broad, Prestwick at Highway 20 and Hillcrest and 360 Residential between Level Creek and Peachtree Industrial Boulevard. Together these four new projects will invest \$234 million in private capital.

Total capital improvements for FY 2019 are \$12,225,813, a 70% increase over FY2018. The increase is the result of planned construction of the first segment of the Sugar Hill Greenway, sidewalk construction along Whitehead and Suwanee Dam Road, the 2019 road resurfacing program, the relocation and enhancement of the city's veterans memorial and new park planning and construction. Please note the construction of the E Center has been reported as a Sugar Hill Downtown Development Authority project. The city's intergovernmental agreement to lease the gymnasium and theater and pay any remaining debt service is reflected in the 2019 Operations Budget.

As management staff, we are committed to efficiently and effectively delivering the services authorized by mayor and council and residents expect and deserve. We are also committed to providing world-class customer service, nurturing, celebrating and rewarding staff growth, increasing public greenspace, delivering first class music, arts and community events and embracing strategic public-partnerships.

Organizational Chart and Position Count

Legislative Branch – 6 Positions

Steve Edwards, Mayor
Curtis Northrup, Mayor Pro Tem
Taylor Anderson, Council Member
Marc Cohen, Council Member
Brandon Hembree, Council Member
Susie Gajewski Walker, Council Member

The city is served by five Council Members and a Mayor, each elected at-large. The Mayor Pro Tem is elected by the Council for a two-year term. Collectively, the Mayor and Council serve as the city's legislative body, responsible for enacting city ordinances, making land use and zoning decisions, serving as the design review board for the Town Center and Central Business District overlays and appropriating all necessary funds to conduct city business.

The Mayor and Council appoint the City Manager and City Clerk, as well as the City Attorney, Municipal Court Judge, City Auditor and Superintendent of Municipal Elections. The Mayor and Council also designate the city's official legal organ for the purpose of publishing legal notices required by charter, state or federal laws.

The Mayor and Council provide policy direction and leadership to a wide range of city authorities, committees, boards and commissions, as well as serving as a liaison between the city and citizen groups concerning community issues. These include:

Planning and Zoning Commission	Alcohol Review Board
Sugar Hill Downtown Development Authority	Sugar Hill Arts Commission
Development Authority of the City of Sugar Hill	Sugar Hill Youth Council
Sugar Hill Historic Preservation Society	Sugar Hill Housing Authority

It is the goal of the Mayor and Council to provide positive and transparent leadership and at all times conduct city business in a fair and ethical fashion. The Mayor and Council also work to encourage citizen engagement and to conduct all work sessions and official council meetings in an orderly, legal, constructive and respectful manner.

Finally, the Mayor and Council strive to maintain and provide a wide range of high-quality municipal services that are responsive to citizen needs, are fiscally-responsible and enhance the economic health of Sugar Hill.

Executive Branch – 58 Positions

The ***City Manager*** is appointed by the Mayor and Council and is responsible for the execution of policies, directives and legislative action by the Mayor and Council as well as compliance with state and federal laws, rules and regulations. The City Manager oversees the preparation of the annual operating and capital improvement budgets and supervises the expenditures of all appropriated funds. The manager is also responsible for the administration of all personnel policies along with the employment and discharge of all city personnel not appointed directly by Mayor and Council according to the provisions of the City Charter.

It is the goal of the City Manager and the executive management team to promote and maintain a safe, pleasant and professional work environment that embraces the attitude of world-class customer service and efficient delivery of high-quality municipal services.

The ***City Clerk*** is appointed by the Mayor and Council and is responsible for the posting of all meetings of the Mayor and Council, manages records of all meetings, publishes meeting minutes in a timely fashion, responds to all requests for records covered under the Open Records Act and serves as the official custodian of all city records. The Clerk is also responsible for property tax billing, occupational licensing, occupational tax collection and alcohol beverage licensing. By action of the Mayor and Council, the City Clerk also serves as the Superintendent of Municipal Elections and is authorized to employ trained temporary poll workers for the fair and responsible execution of qualifying, reporting and election.

Other Direct Appointments

The ***City Attorney*** serves at the pleasure of the Mayor and Council and serves the city in an advisory capacity by interpreting federal, state and local laws as they pertain to the conduct of city business. The City Attorney advises the city on contract, personnel and real estate matters, and also represents the city in all litigation. Frank Hartley and Lee Thompson of the firm Thompson, Sweeny, Kinsinger & Pereira P.C., of Lawrenceville, Georgia serve as City Attorney.

The ***City Auditor*** serves at the pleasure of the Mayor and Council and is responsible for the annual audit of all city funds, operations and fiscal management processes. The auditor is charged with preparing an annual audit for presentation to the Mayor and Council that is in compliance with Generally Accepted Accounting Procedures (GAAP) and state requirements. The audit provides a financial report of the city as well as any recommendations for improving fiscal management policies, practices and processes or addressing any deficiencies. Wayne Tuck of the firm of Walker, Pierce & Tuck Associates PC, CPA's of Gainesville, Georgia serves as the City Auditor.

The **Municipal Court Judge** serves at the pleasure of the Mayor and council and is the judicial/administrative body of the city charged with resolving disputes arising from the enforcement of the various laws, codes and ordinances of the city. Items such as code enforcement, property maintenance and nuisance violations are heard by the court. The City Attorney serves as the City Solicitor and represents the city before the court. The Municipal Court is served by a certified Municipal Court Clerk charged with preparing the court docket, collecting fees and fines and complying with state law and reporting requirements. It is the goal of the Municipal Court to efficiently improve the operation and administration of city codes and ordinances and provide for equitable application of such codes and ordinances. Margaret Washburn serves as the city's Municipal Court Judge.

Executive Management - 6.5 Positions

Paul Radford, City Manager

Troy Besseche, Assistant City Manager

Robyn Adams, Executive Services Manager

Nancy Dutton, Administrative Assistant to the Manager and Assistant City Manager (Part-time)

Tim Schick, Facilities Director

Joe Sokenis, Facilities Manager

Frank Jackson, Facilities Technician

Operating Departments – 51.5 Positions

Administration - Jane Whittington, City Clerk (3.5)

The administration budget is embedded in the Administration portion of the General Fund budget. The City Clerk serves as the city's Human Resources Director, supervises the functions of the Customer Service area, three part time employees assigned to the Post Office as well as one full time employee assigned to the passport function.

Public Works – Troy Besseche, Assistant City Manager & Director of Public Works (16)

Joe Appling – Superintendent of Public Works

The Assistant City Manager also serves as the Director of Public Works. In late 2018, due to several retirements, public works was reorganized providing an opportunity for a long term employee to be promoted to the position of Public Works Superintendent. In this role, Joe Appling will have day-to-day responsibilities for stormwater, roads, streets and gas operations. Public works consists of streets, sidewalks, stormwater, gas operations and the city's out-sourced sanitation services. The Assistant City Manager also serves as the director of the city's gas utility, explained further under Enterprise Funds. The city's Facilities Manager and Facilities Technician report directly to the recently promoted Facilities Director and are responsible for the day-to-day care and maintenance of City Hall, Sugar Hill Cemetery, Suite Spot, Eagle Theatre and E Center and other city-owned buildings and structures. The Facilities Director reports to the Assistant City Manager and is involved in the documentation of systems, new asset management and project development.

Cemetery (0)

This was a new budget item in 2018 after the city council took action to assume ownership, management and maintenance of the historic Sugar Hill cemetery located on West Broad Street. Funding reserves were transferred from the Sugar Hill Church Cemetery Foundation to a special restricted account in the city. Working with our Public Works and Recreation staff, the Sugar Hill Historic Preservation Society will play an active role in managing and maintaining this cemetery as well one additional small cemetery recently discovered.

Finance – Cindy Pugh, Director (3)

The Finance Department is responsible for accounts receivable, accounts payable, purchasing and payroll, as well as analyzing the general operations of the city's budget for trends, concerns and opportunities. The Finance Department will also assist with city investment policies, budget development and the preparation of the annual audit completed by an appointed outside auditor. The goal of the Finance Department is to be a good steward of public funds, provide timely payments to vendors, actively collect all revenues due to the city and provide timely and understandable monthly financial reports to the City Manager, department heads, Mayor and Council and the general public.

Planning and Development - Kaipo Awana, Director (8)

The Planning and Development Department is responsible for long and short term planning, GIS, zoning, stormwater management compliance, development permits, building inspections and code enforcement and assists the City Manager in any annexation requests. The goal of the department is to ensure that all developments, buildings and structures are built and maintained to code and that all development is in compliance with city ordinances and resolutions.

New Positions: The approved 2018 budget included one part time position for code enforcement but after repeated attempts, we could not find a viable candidate to fill the position. Therefore this year we are recommending one new full-time position dedicated to code enforcement.

Parks and Recreation - Andy McQuagge, Director (10)

The Recreation Department is responsible for the management of city parks, greenspace, golf course and the community center, as well as providing classes and training opportunities for seniors, teens, youth and families. The city's world-class recreation and event facilities include Gary Pirkle Park, the Retreat at Orrs Ferry, the Community Center, City Hall, The Bowl, Dawn P. Gober Community Plaza, Sugar Hill Splash Park and the new E Center. The Recreation Director also oversees the management, operation and maintenance of the Sugar Hill Golf Club and will also be charged with management of several new pocket parks and the Sugar Hill Greenway that will start construction in early 2019.

Events and Eagle Theatre – Megan Carnell, Manager (4.5)

With the completion of the E Center, the Eagle Theatre became another addition to the city's list of world-class entertainment options that includes the Bowl and the Dawn P. Gober Community Plaza. The theatre will be used for a multitude of activities including movies, the Sugar Hill Players Guild, traveling stage and concert events, community events, corporate events and other rentals. The plaza and Bowl will continue to be used for community events and the annual concert series.

New Positions: We are recommending the addition of one new part-time position to assist with both Event and Eagle Theatre responsibilities. In fact, all Eagle Theatre and Event management and staff will be flexed to serve in both capacities.

Economic Development – Mercy Montgomery, Director (4.5)

This department has evolved since its creation in 2014. With the hiring of Mercy Montgomery and the deployment of personnel into the areas they were hired and groomed to perform such as special events, Bowl and Eagle Theatre management, the economic development department is poised to assume its wide range of responsibilities including business recruitment, business retention, downtown development, marketing, communications and community engagement. The department has hired a new Creative Content Coordinator and is in the process of recruiting a new Marketing and Communications Coordinator and well as a Downtown Development Coordinator. In addition, the part-time downtown project coordinator has been moved from executive management to Economic Development.

Information Technology – Ned Jasarevic, Director (2)

The Information Technology Department is responsible for developing and maintaining the city's information technology infrastructure, desktop units, Wi-Fi network and back office business functions, including on-line bill pay, accounting software, building security systems, and other proprietary applications. The Department is also responsible for the development and maintenance of the city's web site.

Public Safety – Outsourced to Plaza Security (0)

In 2009, the city made the decision to contract with a private security firm – Plaza Security – to provide patrol of residential, commercial and industrial areas of the city. Plaza Security officers rotate their shifts to provide a minimum of 80 hours of service per week. The company provides a weekly report to the City Manager and others in the city and also coordinates its efforts with the Gwinnett County Police Department. The goals of this out-sourced service is to provide a security presence and patrols to improve the quality of life for residents and to help serve as a deterrent to criminal activity in the city. This budget continues our plan from 2018 to increase funding in the General Fund as well as the DDA/E Center budget to expand our contractual relationship with Plaza to assist with security at the E Center and Eagle Theatre as well as the opening of the first leg of the new Sugar Hill Greenway.

Sanitation – Outsourced to Advanced Disposal (0)

The city has an agreement with Advanced Disposal Services to “franchise” the city’s collection and disposal of residential, commercial and institutional waste as well as recycling services. Service level options/ costs are negotiated by staff and approved by council. City staff provide customer service oversight to ensure reliable service. The cost is paid directly by the customer.

Enterprise Funds – 28.5 Positions

The city operates three enterprise funds – a municipal gas system, an 18-hole municipal golf course and a stormwater utility - each supported from revenues generated from the operation of the enterprise. If fees do not generate sufficient revenues to cover the cost of the operation, the City Council can make the policy decision to use General Fund revenues or other sources of revenue to help provide the service. Historically, the only enterprise receiving transfers from the General Fund has been the Golf Fund and these transfers were accomplished at the end of the fiscal year. Starting in 2015, management included in the approved budget a general fund transfer to support the Golf Fund rather than making a transfer at the end of the fiscal year to cover the revenue shortfall. The projected shortfall for FY2019 is higher than the previous three years, partially attributable to the planned purchase of an entire new fleet of golf carts and clubhouse improvements. The other two enterprises are self-supporting. The transfer from the General Fund for the projected shortfall is shown in the Recreation budget while previously it had been reflected in the Administration budget.

Gas Fund / Department– (15.5)

Matt Allen, Supervisor

The city is blessed to own and operate a state law designated territory for the sale and delivery of natural gas that is regulated by the Georgia Public Service Commission. The system provides gas service to approximately 10,830 residential and 312 commercial customers, both within the corporate limits of the city and directly outside of the city for a total of 11,142 customers. The city is a member of the Municipal Gas Authority of Georgia (MGAG), as well as the American Public Gas Association. The city purchases its bulk gas supply through a contract with MGAG. The city’s twelve month rolling cost to the gas customer is the 2nd lowest in the state among all municipal gas systems as well as substantially lower than every unregulated gas marketer. The Gas Department works hard to ensure safe, reliable and uninterrupted service and makes every effort to be professional, respectful and provide world-class customer service. The Gas Department has and continues to upgrade its delivery system to ensure an uninterrupted and safe source of energy. The 2018 budget included funds to help with the first phase of the system’s meter replacement and automation program. We will continue the upgrading process in 2019 by replacing approximately 2,200 additional meters.

Golf Course – (8)

Scott Murphy, Club House Manager

Vacant, Golf Course Superintendent

The Sugar Hill Golf Club opened in the spring of 1992 and since that time has proven to be one of the most beautiful and artfully laid out public 18-hole courses in north Georgia. The course

sits atop one of the highest spots in Gwinnett County and its rolling hills provides some of the most spectacular golfing vistas anywhere. The clubhouse has a full-service bar, grill and banquet facility. A driving range and putting green are available for practice, lessons and pre-round warmup. The course has been rated by one golf publication as “18 of the finest holes in North Georgia.” The golf course employs around 18 part-time employees and an equal number of “volunteers”. Part-time hours range from 10 to 30 hours a week. Volunteers help with various tasks in exchange for golfing privileges. These part-time employees are not shown in the manning document.

Stormwater Management – (5)

Troy Besseche, Assistant City Manager & Director

The city’s Stormwater Management function operates as an enterprise fund, having been established under the legal framework of a stormwater utility and fee structure. The department operates out of a number of departments, sharing some of the traditional utility functions associated with billing, customer service, and administration with other departments. Several of the staff members are dedicated, stormwater-only full-time employees that work out of the shop, repairing and maintaining the infrastructure, providing surface water sampling, and supporting the compliance efforts of the program. The Municipal Separate Storm Sewer System (MS4) consists of 40.38 miles of pipe, 1,479 catch basins, and seven city-maintained detention ponds.

Judicial Branch – (0)

Margaret Washburn, Municipal Court Judge – direct appointment of Mayor and Council

The Municipal Court is the judicial/administrative body of the city charged with resolving disputes arising from the enforcement of the various laws, codes and ordinances of the city. Items such as code enforcement, property maintenance and nuisance violations are heard by the court. City Attorney Frank Hartley serves as the City Solicitor and represents the city before the court. The Municipal Court is served by Naomi Brown, a certified Municipal Court Clerk charged with preparing the court docket, collecting fees and fines and complying with state law and reporting requirements.

General Fiscal Policies and Management

The city continues to maintain reasonable and effective financial management practices. The city responsibly allocates financial resources and carefully monitors expenses to put the city in the best possible position for development opportunities. Our finance staff is all well trained. Our finance director has completed all course work and passed all testing for Level II Certification from the Georgia Government Finance Officers Association (GGFOA). The city’s two finance specialists are working on Level I certification and are scheduled to attend several classes in 2019.

The city council also received and accepted the “Unqualified 2017 Audit” on July 2, 2018 and the Georgia Department of Audits approved the submission last summer as well. “Unqualified”

is an accounting term that states the auditor is giving his highest opinion of the financial status of the city without any qualifying notes, comments or concerns. The city has received this designation for six consecutive fiscal years. All state-law required financial and operational reports have now been filed with requisite state agencies and bond reporting entities.

Operationally, staff has been trained, equipped and empowered to manage department budgets and to take actions to properly guarding the public trust. Regular budget reports are being circulated to staff for review, proper documentation is being secured with requisitions, purchasing is being supervised centrally, and bills are being paid on time. Strict adherence to standard operating procedures is the expected level of compliance.

The City Manager is implementing the historical financial reserve, debt, capital improvement, and investment policies currently in place. The city maintains operating budget unrestricted reserves, above the policy-established minimum, to account for undefined projects and for unforeseen emergencies. This cash reserve position puts the city in a strong and resilient position with the flexibility and nimbleness to respond to changes in the economy and to seize opportunities to improve the community. We expect increases in fund balance from 2018 to 2019 as a result of planned real estate transactions.

The five-year capital improvement program (CIP) totals over \$50 million of investment. The 2019 CIP budget is approximately \$12.2 million, with the majority of that assigned to the start of the Sugar Hill Greenway and sidewalk and road improvements.

The CIP is expected to be fully funded within that five-year period with general fund transfers, SPLOST proceeds and grants, helping maintain a “pay-as-you-go” practice. Any large new capital improvement would require council action to finance it through any type of debt instrument. For the fourth year in a row, the current year capital budget and the remaining four-years of the CIP is presented as a separate fund in the budget document.

We are also extremely proud of the city’s staff and volunteers that helped achieve our 2018 goals and played an important role in the development and refinement of this budget proposal. These are exciting times in Sugar Hill. The widening of Highway 20 has certainly influenced growth along that corridor as has the completion of the E Center and Eagle Theatre. These investments are helping usher in the Sugar Hill of tomorrow happening right before our very eyes. The transformation of our downtown landscape over the next 24 months with construction activity of Broadstone, Prestwick, 360 Residential and Dogwood Forest, in addition to the excitement of the full operation of the Eagle Theatre, new restaurants and retail shops and activation of the recreation amenities of the E Center is going to be remarkable.

On behalf of management and staff of the City of Sugar Hill, we appreciate the support provided by the Mayor and Council and the community at large. Sugar Hill is indeed a “Sweet City” to live, work, play, recreate, educate and worship.

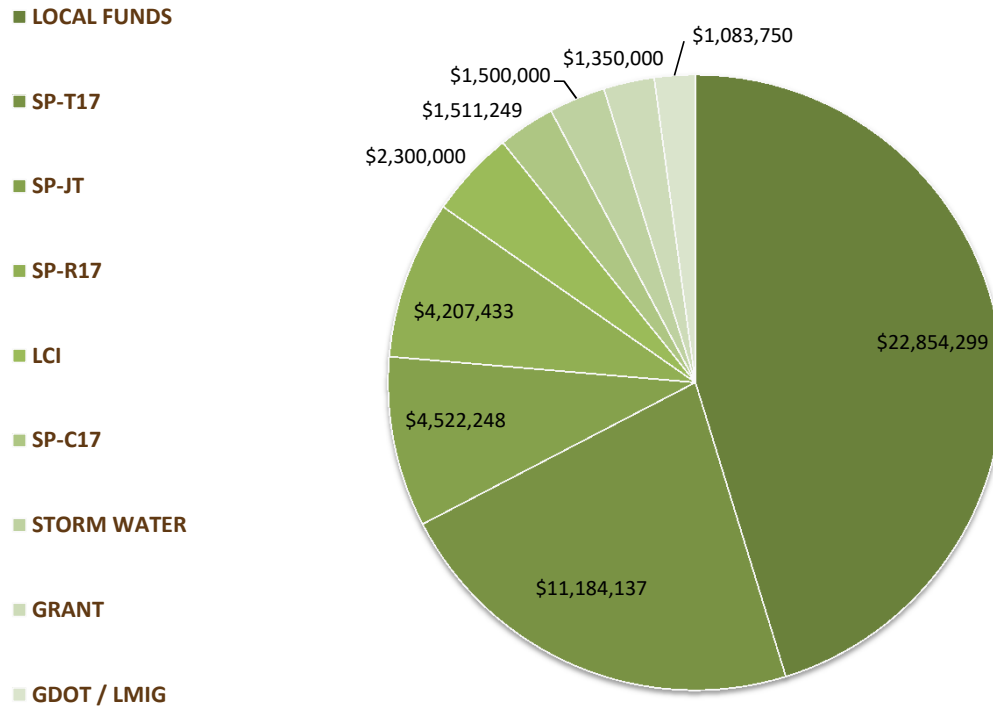
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CAPITAL IMPROVEMENT BUDGET 2019 - 2023

Project	Five Year Total	YEAR					
		2019	2019	2020	2021	2022	2023
VETERAN'S MEMORIAL RELOCATION	1,250,000	750,000	✓	✓			
BOWL IMPROVEMENTS	1,290,107	476,349	✓		✓		✓
GARY PIRKLE PARK IMPROVEMENTS	895,893	145,893	✓	✓	✓		
GATEWAY IMPROVEMENTS / WAYFARING SIGNAGE	340,000	95,000	✓	✓	✓		
SUGAR LOOP - GREENWAY TRAIL PROGRAM	18,501,149	3,430,000	✓	✓	✓	✓	✓
LMIG - ROAD RESURFACING	2,400,000	1,050,000	✓	✓	✓	✓	
SPLOST SIDEWALKS- SDR, WHITEHEAD, SYCAMORE	3,051,061	3,051,061	✓				
CEMETERY SIGNAGE AND FENCING	150,000	150,000	✓				
COUNTY INTERSECTION PROJECT SDR - RIVERSIDE	237,500	237,500	✓				
GOLD MINE PARK	800,000	800,000	✓				
22 AC. PARK	1,000,000	85,000	✓	✓		✓	
GOLF COURSE CLUBHOUSE IMPROVEMENTS	300,000	150,000	✓		✓		
GOLF CARTS	250,000	250,000	✓				
PROPERTY ACQUISITION - PARKS/GREENSPACE/DEV	3,520,000	880,000	✓	✓	✓	✓	
2019 STORMWATER SYSTEM IMPROVEMENTS	1,500,000	300,000	✓	✓	✓	✓	✓
HIGHWAY 20 PEDESTRIAN BRIDGE	2,900,000	250,000	✓	✓	✓		
LEVEL CREEK ROAD EXTENSION & ROUNDABOUT	1,800,000	125,000	✓			✓	
HIGHWAY 20 STREETSCAPE LANDSCAPING UPGRADES	1,000,000			✓	✓		
DOWNTOWN STREETSCAPE UPGRADES - INTERSECTION	2,252,406			✓		✓	✓
HIGHWAY 20 EAST WIDENING - DESIGN ENHANCEMENTS	2,000,000				✓		✓
RETREAT AT ORRS FERRY	1,600,000			✓	✓	✓	
DOWNTOWN INTERACTIVE IMPROVEMENTS & PUBLIC ART	100,000			✓			
TRANSPORTATION IMPROVEMENTS - HILLCREST	2,300,000				✓	✓	✓
WHITEHEAD ROAD ROUNDABOUT IMPROVEMENTS	1,075,000				✓	✓	✓
SUMMARY	TOTAL		2019	2020	2021	2022	2023
	\$50,513,116		\$12,225,803	\$7,816,149	\$10,902,406	\$10,688,000	\$8,880,758

Sugar Hill 5-YR CIP Sources



2019 CIP Funding Sources

	Annual Tot.	Local Funds	SP-T17	SP-R17	SP-C17	SP-JT	GDOT / LMIG	LCI	STORM WATER	GRANT
VETERANS MEMORIAL RELOCATION	\$750,000	\$0	\$0	\$0	\$750,000	\$0	\$0	\$0	\$0	\$0
BOWL IMPROVEMENTS	\$476,349	\$40,107	\$0	\$0	\$436,242	\$0	\$0	\$0	\$0	\$0
GARY PIRKLE PARK IMPROVEMENTS	\$145,893	\$145,893	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
GATEWAY IMPROVEMENTS / WAYFARING SIGNAGE	\$95,000	\$95,000	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
SUGAR LOOP - GREENWAY TRAIL PROGRAM	\$3,430,000	\$0	\$1,188,295	\$0	\$0	\$2,241,705	\$0	\$0	\$0	\$0
LMIG - ROAD RESURFACING	\$1,050,000	\$0	\$635,844	\$0	\$0	\$0	\$414,156	\$0	\$0	\$0
SPLOST SIDEWALKS- SDR, WHITEHEAD, SYCAMORE	\$3,051,061	\$116,000	\$1,059,518	\$0	\$0	\$1,875,542	\$0	\$0	\$0	\$0
CEMETERY SIGNAGE AND FENCING	\$150,000	\$150,000	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
COUNTY INTERSECTION PROJECT SDR - RIVERSIDE	\$237,500	\$0	\$237,500	\$0	\$0	\$0	\$0	\$0	\$0	\$0
GOLD MINE PARK	\$800,000	\$0	\$0	\$0	\$800,000	\$0	\$0	\$0	\$0	\$0
22 AC. PARK	\$85,000	\$0	\$0	\$85,000	\$0	\$0	\$0	\$0	\$0	\$0
GOLF COURSE CLUBHOUSE IMPROVEMENTS	\$150,000	\$150,000	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
GOLF CARTS	\$250,000	\$250,000	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
PROPERTY ACQUISITION - PARKS/GREENSPACE/DEV	\$880,000	\$0	\$0	\$880,000	\$0	\$0	\$0	\$0	\$0	\$0
2019 STORMWATER SYSTEM IMPROVEMENTS	\$300,000	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$300,000	\$0
HIGHWAY 20 PEDESTRIAN BRIDGE	\$250,000	\$250,000	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
LEVEL CREEK ROAD EXTENSION & ROUNDABOUT	\$125,000	\$125,000	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
TOTALS:	\$12,225,803	\$1,322,000	\$3,121,157	\$965,000	\$1,986,242	\$4,117,247	\$414,156	\$0	\$300,000	\$0